

Wealth Strategy Snapshot: Educational Analysis

2026 Tax Year Planning

Prepared for Courtney Wright | April 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile as a high-income W-2 professional launching a consulting practice. With a combined federal and state marginal rate of approximately **39%** (32–35% federal + 5.9% New Mexico), multiple strategies exist to potentially reduce taxable income while positioning wealth for your goal of corporate retirement by age 50.

Based on your profile — \$200–299K W-2 income, new Single-Member LLC, home ownership in Santa Fe, and interest in both consulting and real estate — this snapshot models potential first-year value ranging from **\$72,121** (conservative scenario) to **\$286,270** (aggressive scenario including real estate acquisition).

Implementation of any strategy should be verified with your CPA and licensed financial advisor. Tax strategy calculations incorporate provisions from the One Big Beautiful Bill Act (OBBBA), signed July 4, 2025, which made several TCJA provisions permanent and introduced new benefits including 100% bonus depreciation, an expanded SALT cap, and permanent QBI deduction.

Current Financial Position

INCOME & EMPLOYMENT	ASSETS & ACCOUNTS
W-2 Income: \$200,000–\$299,000	Liquid Capital: \$50,000+
Self-Employment: New LLC (< 6 months); goal \$75K in 2026	Comfortable Deploying: \$5,000–\$10,000
Filing Status: Single	Credit Score: 720–759
Age: 45 (no catch-up eligible)	Home Equity: \$100K+ (balance ~\$159K, pmt \$5,433/mo)
Location: Santa Fe, NM (~5.9% state)	Emergency Fund: 2–3 months

Est. Marginal Rate: ~39% (32–35% fed + 5.9% NM)

W-2 401(k): Maxing \$24,500 (2026)

BUSINESS & GOALS

LLC Type	Single-Member LLC (sole prop) — tech startup consulting (GTM / product strategy)
Side Biz Target	\$75K revenue in 2026
Home Office	Yes — dedicated room used exclusively for business
Vehicle for Biz	No
HSA	Maxing out
Roth IRA	Aware but not yet contributing (Backdoor Roth opportunity)
5-Year Goal	Retire from corporate by 50 via consulting income + real estate

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Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

WEEK 1 — FOUNDATION

Solo 401(k): Must be established by Dec 31, 2026 for employee deferrals. Discuss provider

WEEK 2 — ACCOUNTS

Backdoor Roth IRA: Explore custodian setup. Confirm no existing Traditional IRA balance (pro-rata rule). Discuss with CPA.

options (Fidelity, Schwab) and timing with CPA.

W-4 Review: Model new withholding to reflect 2026 business deductions. Discuss adjustment timing with CPA.

WEEK 3 — TAX STRATEGY

Augusta Rule: Research comparable rental rates for Santa Fe homes. Document fair market value. Discuss with CPA.

Home Office: Measure dedicated space; organize documentation of exclusive business use.

Brokerage Account: Discuss custodian options for non-retirement investing with financial advisor.

WEEK 4 — GROWTH

STR Arbitrage: Explore market analysis for Santa Fe/target markets. Discuss financing, LLC structure, and Paydex timeline with advisor.

QBI Eligibility: Confirm consulting income qualifies for 20% QBI deduction. Discuss SSTB phase-out thresholds with CPA — see critical note below.

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

Strategy	2025 Limit	Deadline	Your Opportunity
Backdoor Roth IRA	\$7,000 (age 45 — no catch-up)	April 15, 2026	\$7,000 if not yet contributed for 2025
HSA	\$4,300 individual (age 45 — no catch-up)	April 15, 2026	Confirm fully maxed for 2025
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	If LLC had 2025 income & plan was established

SEP IRA

25% up to \$69,000

Tax filing +
extensions

Alternative if no Solo 401(k)
established in 2025

No Longer Available for 2025: 401(k) employee deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

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2026 Tax Optimization Strategies to Explore

Strategy Concept: Solo 401(k) — Employer Contributions

Potential Value: \$4,502 – \$6,191 tax savings

What It Is: A retirement plan for self-employed individuals allowing employer contributions of up to 25% of net self-employment income. Since W-2 401(k) employee deferrals are already maxed, the Solo 401(k) employer contribution captures additional tax-deferred savings from consulting income.

How It Works: At a 39% combined marginal rate, employer contributions of \$11,544 (conservative, based on ~\$55K net SE) to \$15,875 (aggressive, based on ~\$75K gross) model potential tax savings of \$4,502–\$6,191. Employee deferrals cannot be doubled since the W-2 plan already uses the \$24,500 limit.

Eligibility Criteria: Self-employment income; no full-time W-2 employees (spouse exception); plan established by Dec 31, 2026 for employee deferrals.

Implementation Considerations:

1. Establish plan by December 31, 2026 (Fidelity, Schwab, or Vanguard — no-fee options available)

2. Employer contributions can be made until tax filing deadline + extensions
3. Annual Form 5500-EZ if balance exceeds \$250,000

Verify contribution limits and coordination with W-2 401(k) with your CPA. 2026 limits shown. The \$24,500 employee deferral limit is shared across ALL 401(k) plans.

Strategy Concept: QBI Deduction (Section 199A)

Potential Value: \$0 – \$5,550 tax savings (see critical phase-out warning)

What It Is: A 20% deduction on qualified business income from pass-through entities like sole proprietorships. Made permanent by the OBBBA (signed July 4, 2025). Consulting income may qualify, effectively reducing the tax rate on that income by 20%.

How It Works: On \$50K–\$75K of qualifying consulting income, the 20% deduction models \$10,000–\$15,000 off taxable income, generating \$3,900–\$5,550 in potential tax savings at a 39% rate. Consulting is a specified service trade or business (SSTB), so the deduction phases out between \$201,775–\$276,775 for single filers (2026, per Rev. Proc. 2025-32 and OBBBA-expanded phase-out window of \$75,000).

Eligibility Criteria: Taxable income must be below the SSTB phase-out threshold. Consulting is an SSTB, so the deduction phases out between \$201,775–\$276,775 (single, 2026). Total taxable income after W-2 determines eligibility. New for 2026: a \$400 minimum deduction applies if QBI exceeds \$1,000.

⚠ Critical Phase-Out Risk: With W-2 income of \$200–299K, total taxable income likely exceeds the SSTB phase-out threshold (\$201,775 single, 2026) even before adding consulting income. This may reduce or eliminate this deduction entirely. The potential value shown assumes taxable income falls within or below the phase-out range after above-the-line deductions (Solo 401k, HSA, 1/2 SE tax). CPA verification is essential — this deduction may be \$0 depending on your exact AGI. Strategies to reduce taxable income below the threshold (retirement contributions, HSA, etc.) should be modeled with your CPA.

Strategy Concept: Backdoor Roth IRA

Potential Value: Wealth positioning — tax-free growth on \$7,500

What It Is: A two-step strategy for high-income earners who exceed direct Roth IRA income limits. Involves a non-deductible Traditional IRA contribution followed by a Roth conversion.

How It Works: Contribute \$7,500 (2026 limit, age 45 — no catch-up) to a Traditional IRA, then convert to Roth. The pro-rata rule applies if other Traditional IRA balances exist — confirm no pre-tax IRA balances. Growth becomes tax-free in retirement.

Eligibility Criteria: Any income level (no income limit on non-deductible Traditional IRA contributions). Must have zero or minimal pre-tax Traditional IRA balance to avoid pro-rata taxation.

Implementation Considerations:

1. Open Traditional IRA if not already established
2. Contribute \$7,500 → convert to Roth shortly after (minimize taxable gains)
3. File Form 8606 with tax return

Verify pro-rata rule implications with your CPA. 2026 limits shown per Rev. Proc. 2025-32.

Strategy Concept: Augusta Rule (Section 280A)

Potential Value: \$2,730 – \$3,822 tax savings

What It Is: A provision allowing homeowners to rent their personal residence to their own business for up to 14 days per year, with the rental income excluded from the homeowner's taxable income while the business deducts the rental expense.

How It Works: At a fair market rental rate of \$500–\$700/day for a Santa Fe home, renting for 14 days models \$7,000–\$9,800 in tax-free income. The LLC deducts the expense, saving \$2,730–\$3,822 at a 39% rate. Requires documented business purpose (strategy sessions, client meetings, planning days).

Eligibility Criteria: Own a home; have a legitimate business; rentals must have documented business purpose; fair market rate must be substantiated by comparable rental data.

Implementation Considerations:

1. Research comparable short-term rental rates in Santa Fe (Airbnb, VRBO comparables)
2. Document each rental day with meeting agendas, attendees, and business purpose

3. LLC pays homeowner via separate check/transfer; maintain paper trail

Verify documentation requirements with your CPA. Fair market value must be supportable with comparable data. 2026 rules apply.

Strategy Concept: HSA Maximization

Potential Value: \$1,716 tax savings (maintaining current strategy)

What It Is: A triple-tax-advantaged account — contributions are pre-tax, growth is tax-free, and qualified medical withdrawals are tax-free. For 2026, the individual limit is \$4,400 (age 45 — no catch-up).

How It Works: The full \$4,400 contribution at a 39% marginal rate models \$1,716 in tax savings. After age 65, funds can be withdrawn for any purpose (taxed as income, like a Traditional IRA) or tax-free for medical expenses. Currently maxing — maintain this strategy.

Eligibility Criteria: Must be enrolled in a High Deductible Health Plan (HDHP); cannot be enrolled in Medicare or claimed as a dependent.

Implementation Considerations:

1. Confirm 2026 HDHP enrollment
2. Consider investing HSA funds beyond emergency medical reserves
3. Save medical receipts for future tax-free reimbursement

Verify HDHP qualification and 2026 individual limit (\$4,400) with your benefits administrator. 2026 limits shown per Rev. Proc. 2025-32.

Strategy Concept: Home Office Deduction

Potential Value: ~\$585 tax savings

What It Is: A deduction for the portion of home expenses attributable to a dedicated, exclusive-use workspace. Available to self-employed individuals using the simplified or regular method.

How It Works: The simplified method allows \$5/sq ft up to 300 sq ft = \$1,500 maximum deduction. At a 39% rate, this models ~\$585 in tax savings. The regular method (actual expenses

pro-rated) may yield more if dedicated space is large relative to home.

Eligibility Criteria: Space must be used regularly and exclusively for business. Dedicated room confirmed.

Implementation Considerations:

1. Measure dedicated room square footage
2. Compare simplified vs. actual method with CPA
3. Document with photos and floor plan

Verify method selection with your CPA. Regular method requires detailed expense records. 2026 rules apply.

Strategy Concept: STR Cost Segregation (Aggressive Scenario)

Potential Value: ~\$43,716 first-year tax benefit (aggressive only)

What It Is: Accelerated depreciation on a short-term rental property via a cost segregation study. STR properties with an average guest stay of 7 days or fewer can use accelerated depreciation to offset active income without Real Estate Professional (REP) status. Under the OBBBA (signed July 4, 2025), 100% bonus depreciation is permanently available for qualified property acquired and placed in service after January 19, 2025.

How It Works: On a ~\$375K property:

1. **Building basis:** $\$375K \times 80\% = \$300,000$ (excluding ~20% land value)
2. **Cost seg reclassification:** ~35% of building basis (\$105,000) reclassified to 5/7/15-year property
3. **100% bonus depreciation (OBBBA):** $\$105,000 \times 100\% = \$105,000$ Year 1
4. **Remaining straight-line:** $\$195,000 / 27.5 \text{ years} = \sim\$7,091$ Year 1
5. **Total Year 1 depreciation:** $\sim\$112,091$
6. **Tax benefit:** $\$112,091 \times 39\% = \sim\$43,716$

Eligibility Criteria: Property must be an STR with average guest stay ≤ 7 days; owner must materially participate (100+ hours and more than any other individual); cost segregation study by qualified engineering firm; property acquired after January 19, 2025 for 100% bonus depreciation.

Implementation Considerations:

1. Identify and acquire STR property (arbitrage or purchase)
2. Engage cost segregation engineer (\$3,000–\$7,000 study cost)
3. Ensure material participation documentation from day one

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional to ensure compliance. This strategy applies only in the aggressive scenario with property acquisition. Cost segregation applies to building basis (after subtracting land value), not full property value.

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Primary Strategy Education: Consulting Business + STR Arbitrage Path

Based on the indicated goal of replacing W-2 income by age 50 through consulting and real estate, the following educational overview illustrates how these two income streams are commonly structured:

Path A: Tech Startup Consulting (GTM Advisory)

Revenue Model: GTM / product strategy consulting for tech startups commonly ranges \$150–\$300/hr for advisory engagements, or \$3,000–\$10,000/mo for fractional/retainer arrangements. The stated goal of \$75K in 2026 suggests roughly 2–3 retainer clients or 500 billable hours.

Tax Structure Considerations: The Single-Member LLC (sole prop) is a starting point. As revenue grows, S-Corp election may become advantageous (typically at \$50K+ net income) to reduce self-employment tax. The standard March 15, 2026 deadline for 2026 S-Corp election has passed, but late election relief may be available under Rev. Proc. 2013-30. Alternatively, discuss filing for 2027 S-Corp election (due March 15, 2027) with your CPA as consulting revenue ramps.

Key Tax Strategies Unlocked by Consulting Income: Solo 401(k) employer contributions, QBI deduction (subject to SSTB phase-out), Augusta Rule, home office deduction, and business expense deductions (tech equipment, software, travel).

Path B: STR Arbitrage → Rental Property Investment

Arbitrage Model: Leasing a property and subletting as a short-term rental (Airbnb) typically requires \$5,000–\$15,000 in startup capital per unit (furnishing, deposits, supplies). Revenue potential varies significantly by market. Santa Fe's tourism market may support premium nightly rates.

Transition to Ownership: Arbitrage can serve as a market-testing strategy before property acquisition. With a 720–759 credit score and the intent to build Paydex, a 12–18 month arbitrage track record demonstrates rental income for future financing.

Key Consideration — Mortgage vs. Investing: With a current mortgage above 7%, the guaranteed "return" from paying down the mortgage competes with investment returns. However, at a 39% marginal rate, tax-deductible strategies (Solo 401k, HSA) offer a guaranteed 39% tax savings on contributed amounts, which may exceed the after-tax benefit of mortgage paydown. Discuss prioritization with your CPA and financial advisor.

Business income projections are illustrative. Actual results depend on client acquisition, market conditions, and execution. Discuss entity structure, S-Corp election timing, and real estate strategy with your CPA and attorney.

Illustrative Portfolio Scenario

Based on the moderately aggressive profile, growth-focused goals with passive income interest, and 5–10 hours/week available, this scenario models a 50% Bitcoin / 30% STRC / 20% Broad Market allocation:

Asset Class	Scenario %	Conservative (\$7,500)	Aggressive (\$60,000)	Educational Rationale
Bitcoin	50%	\$3,750	\$30,000	Bitcoin serves as a core wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption
STRC	30%	\$2,250	\$18,000	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield
VTI/VOO	20%	\$1,500	\$12,000	VTI/VOO offer broad U.S. equity market exposure at low cost —

Capital Note: Conservative scenario uses the comfortable deploying midpoint (\$7,500). Aggressive scenario uses liquid capital midpoint (\$60,000). Actual deployment should be discussed with a licensed financial advisor.

This scenario models one approach based on the moderately aggressive, growth-focused profile indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Verify current STRC yield at time of investment. Historical yields shown are not guaranteed.

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Modeled First-Year Value Summary (2026 Tax Year)

Category	Item	Conservative	Aggressive	Notes
CATEGORY A: TAX OPTIMIZATION				
Tax	Solo 401(k) Employer (25% net SE)	\$4,502	\$6,191	Contribution × 39% marginal rate
Tax	HSA Maximization (\$4,400 individual)	\$1,716	\$1,716	\$4,400 × 39% = \$1,716
Tax	Augusta Rule (14 days)	\$2,730	\$3,822	\$500–700/day × 14 × 39%
Tax	Home Office (simplified)	\$585	\$585	\$1,500 × 39%
Tax	QBI Deduction (20% SE income) ⚠️	\$0–\$3,700	\$0–\$5,550	SSTB phase-out likely applies; may be \$0 — verify with CPA
Tax	STR + Cost Segregation (OBBBA 100% bonus	\$0	\$43,716	Aggressive only: \$300K basis × 35% reclass + SL; ×

	dep)			39%
	Tax Optimization Subtotal	\$9,533	\$56,030	Excludes QBI (likely \$0)
CATEGORY B: INVESTMENT INCOME (Yield / Dividends)				
Income	STRC Yield	\$225	\$2,160	$\$2,250 \times 10\% / \$18,000 \times 12\%$
Income	ETF Dividends (VTI/VOO)	\$23	\$240	$\$1,500 \times 1.5\% / \$12,000 \times 2\%$
	Investment Income Subtotal	\$248	\$2,400	
CATEGORY C: INVESTMENT APPRECIATION (Projected Growth)				
Growth	Bitcoin (25% / 50%)	\$938	\$15,000	$\$3,750 \times 25\% / \$30,000 \times 50\%$
Growth	STRC (15% / 30%)	\$338	\$5,400	$\$2,250 \times 15\% / \$18,000 \times 30\%$
Growth	VTI/VOO (8% / 12%)	\$120	\$1,440	$\$1,500 \times 8\% / \$12,000 \times 12\%$
	Appreciation Subtotal	\$1,396	\$21,840	
CATEGORY D: REAL ESTATE (Aggressive Only)				
RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	After expenses; market dependent
RE	Property Appreciation (~4.5%)	\$0	\$16,875	$4.5\% \times \$375,000$ property
RE	Mortgage Principal Paydown (Yr 1)	\$0	\$4,500	Year 1 equity build
	Real Estate Subtotal	\$0	\$51,375	Conservative = no RE acquisition

CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization	\$6,000	\$12,000	\$500–\$1,000/mo additional take-home × 12
Cash Flow Subtotal		\$6,000	\$12,000	
CATEGORY F: WEALTH BUILDING (Dollars Positioned)				
Wealth	W-2 401(k) Contributions	\$24,500	\$24,500	2026 employee deferral limit (age 45)
Wealth	Solo 401(k) Employer Contributions	\$11,544	\$15,875	25% of net SE income
Wealth	HSA Contributions	\$4,400	\$4,400	2026 individual limit (age 45)
Wealth	Backdoor Roth IRA	\$7,500	\$7,500	2026 limit (age 45 — no catch-up)
Wealth	Augusta Rule Income Received	\$7,000	\$9,800	Tax-free under 14-day rule
Wealth	RE Equity Position (Down Payment)	\$0	\$75,000	20% down on ~\$375K property
Wealth Building Subtotal		\$54,944	\$137,075	
TOTAL FIRST-YEAR VALUE (2026)		\$72,121	\$286,270	Excludes QBI (verify eligibility)

Disclaimer: Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on modeled scenarios and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32 and OBBBA provisions; verify with your CPA. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

Date	Consideration	Notes
April 15, 2026	Last day for 2025 IRA & HSA contributions	Backdoor Roth for 2025 if not yet done
April 15, 2026	2025 tax filing deadline (or extension)	Solo 401(k) employer contributions due
Q2 2026	First estimated tax payment (June 15)	Discuss quarterly estimates with CPA if SE income growing
Q3 2026	Mid-year tax planning review	Assess consulting revenue pace; adjust strategies
Sept 15, 2026	Q3 estimated tax payment	Review withholding vs. estimated payment balance
Dec 31, 2026	Solo 401(k) plan establishment deadline	Required for 2026 employee deferrals
Dec 31, 2026	2026 401(k) employee contributions deadline	Both W-2 and Solo 401(k) employee deferrals
Jan 15, 2027	Q4 estimated tax payment	Final quarterly estimate for 2026
April 15, 2027	Last day for 2026 IRA & HSA contributions	Backdoor Roth, HSA for 2026

Verify all deadlines with your tax professional. Estimated tax payment dates and amounts depend on income timing and withholding levels.

Questions for Your Professional Team

For Your CPA

"Based on my W-2 income of \$200–299K and new consulting income, what is my exact 2026 marginal rate and how does the SSTB QBI phase-out (\$201,775–\$276,775 single, per OBBBA-expanded thresholds) apply to my consulting income?"

"With my W-2 401(k) already maxed at \$24,500, what is my maximum Solo 401(k) employer contribution based on projected consulting net income?"

"What documentation do I need for Augusta Rule rentals, and what is a defensible fair market rate for my Santa Fe home?"

"The March 15 deadline for 2026 S-Corp election has passed — is late election relief (Rev. Proc. 2013-30) available for my LLC, or should I target S-Corp election for 2027? What consulting revenue threshold makes S-Corp worthwhile?"

"Can I still make a 2025 Backdoor Roth IRA contribution before April 15, and do I have any pre-tax Traditional IRA balances that would trigger the pro-rata rule?"

For Your Financial Advisor

"Given my goal of retiring from corporate by 50, what investment allocation balances growth with the income I'll need to replace my W-2 salary?"

"How should I prioritize mortgage paydown (7%+ rate) vs. tax-advantaged contributions vs. brokerage investing given my marginal rate?"

"What brokerage account structure is appropriate for non-retirement investing, and how do I begin?"

For Your Attorney

"Is my Single-Member LLC adequate for consulting, or should I consider additional asset protection given the plan to add real estate?"

"What entity structure is appropriate for STR arbitrage — separate LLC, or series LLC for multiple properties?"

Professional Team Considerations

Professional	Role in Strategy	Key Discussions
CPA / Tax Professional	Tax strategy verification, QBI eligibility, entity election, quarterly estimates	Solo 401(k) setup, Augusta Rule documentation, S-Corp election timing, cost segregation coordination
Attorney / Estate Planner	Entity structuring, asset protection, operating agreements	LLC structure for consulting + RE, series LLC for multiple STR properties, lease review for arbitrage
Financial Advisor (RIA)	Investment implementation, portfolio construction, retirement modeling	Brokerage account setup, Backdoor Roth execution, asset allocation aligned with 5-year retirement goal
Cost Segregation Engineer	Accelerated depreciation study (if RE acquired)	Property analysis, asset reclassification, first-year deduction modeling under OBBBA 100% bonus dep
Real Estate Agent / Mentor	Market analysis, property sourcing, arbitrage lease negotiation	Santa Fe STR market data, comparable rental rates, lease terms that permit subletting

You indicated you already work with a CPA and attorney — ensure they are experienced with self-employment tax strategies, real estate investor taxation, and business entity optimization.

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Milestone Checkpoints (2026)

Timeframe	Milestone	Consideration
Q1 (Now)	Foundation	2025 cleanup contributions; CPA meeting to plan 2026; Solo 401(k) research; first consulting clients
Q2	Revenue Building	Consulting revenue tracking vs. \$75K goal; first estimated tax payment; brokerage account exploration; STR market research

Q3	Mid-Year Review	Tax projection update with CPA; assess S-Corp election for 2027; STR arbitrage launch consideration; investment deployment review
Q4	Year-End Optimization	Solo 401(k) establishment (by Dec 31); maximize all 2026 contributions; Augusta Rule rentals if not yet completed; year-end tax planning with CPA
Q1 2027	Carry-Forward	2026 IRA/HSA contributions before April 15, 2027; assess first full year results; plan 2027 strategy adjustments

These milestones are for planning awareness. Actual timing depends on business development pace, market conditions, and professional guidance. Review quarterly with your CPA.

Educational Resources & 2026 Reference

2026 Contribution Limits Reference (Rev. Proc. 2025-32)

Account Type	Base Limit	Catch-Up (50+)	Super Catch-Up (60–63)
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250
HSA (Family Coverage)	\$8,750	+\$1,000 (55+)	N/A
HSA (Individual Coverage)	\$4,400	+\$1,000 (55+)	N/A
Traditional / Roth IRA	\$7,500	+\$1,100	N/A

Business mileage rate for 2026: 72.5¢/mile. Verify all limits with IRS.gov or your tax professional.

OBBBA Key Provisions (Signed July 4, 2025)

100% Bonus Depreciation: Permanently restored for qualified property acquired and placed in service after January 19, 2025. Reverses the TCJA phase-down schedule.

SALT Cap: Increased from \$10,000 to \$40,000 (\$40,400 for 2026, indexed). Phases out for MAGI above \$500,000.

Section 179 Expanded: Maximum deduction increased to \$2,500,000 (phase-out at \$4,000,000).

QBI Deduction (Section 199A): Made permanent. SSTB phase-out window expanded to \$75,000 (single) / \$150,000 (MFJ). New \$400 minimum deduction if QBI exceeds \$1,000.

Child Tax Credit: Increased to \$2,200 per qualifying child, indexed for inflation.

Standard Deduction: \$16,100 (single) / \$32,200 (MFJ) for 2026.

TCJA Individual Rates: Made permanent (10%, 12%, 22%, 24%, 32%, 35%, 37%).

SECURE 2.0 Note

Starting in 2026, if you earned \$150,000+ in FICA wages in 2025 from the same employer, your catch-up contributions must be Roth (not pre-tax). At age 45, you are not yet catch-up eligible, so this provision does not currently apply. Flag for future years (age 50+).

Your Profile: Age 45 — No Catch-Up Contributions Apply

At age 45, all contributions are at base limits. Catch-up contributions begin at age 50 (2031). HSA catch-up begins at age 55 (2036). Plan ahead: the 5-year window to corporate retirement (age 50) means catch-up contributions become available in the final year of the plan.

For educational reference only. Tax rules change frequently — verify current provisions at [IRS.gov](https://www.irs.gov) or with your tax professional.

Important Disclaimers

Educational Purpose: This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice.

Not Investment Advice: Legacy Investing Show and its staff are not registered investment advisers. This document does not recommend the purchase, sale, or holding of any security. Investment scenarios presented are illustrative models for educational purposes only. All investments carry risk including potential loss of principal.

Not Tax Advice: Tax strategies discussed are educational explanations of how certain provisions work. Eligibility, implementation, and actual tax outcomes depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation.

Not Legal Advice: Entity structure, asset protection, and partnership discussions are educational. Consult a qualified attorney for legal guidance specific to your situation.

No Guarantees: Projected values, potential savings, and scenario outcomes are illustrative estimates based on assumptions stated. Actual results will vary based on market conditions, tax law changes, and individual circumstances. Past performance does not guarantee future results.

Investment Risk Disclosure: All investments involve risk. Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market fluctuations, vacancy, and unexpected expenses. You could lose some or all of your invested capital.

Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of April 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

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